

INSURANCE AND PENSIONS COMMISSION

QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE FIRST QUARTER ENDED 31 MARCH 2012

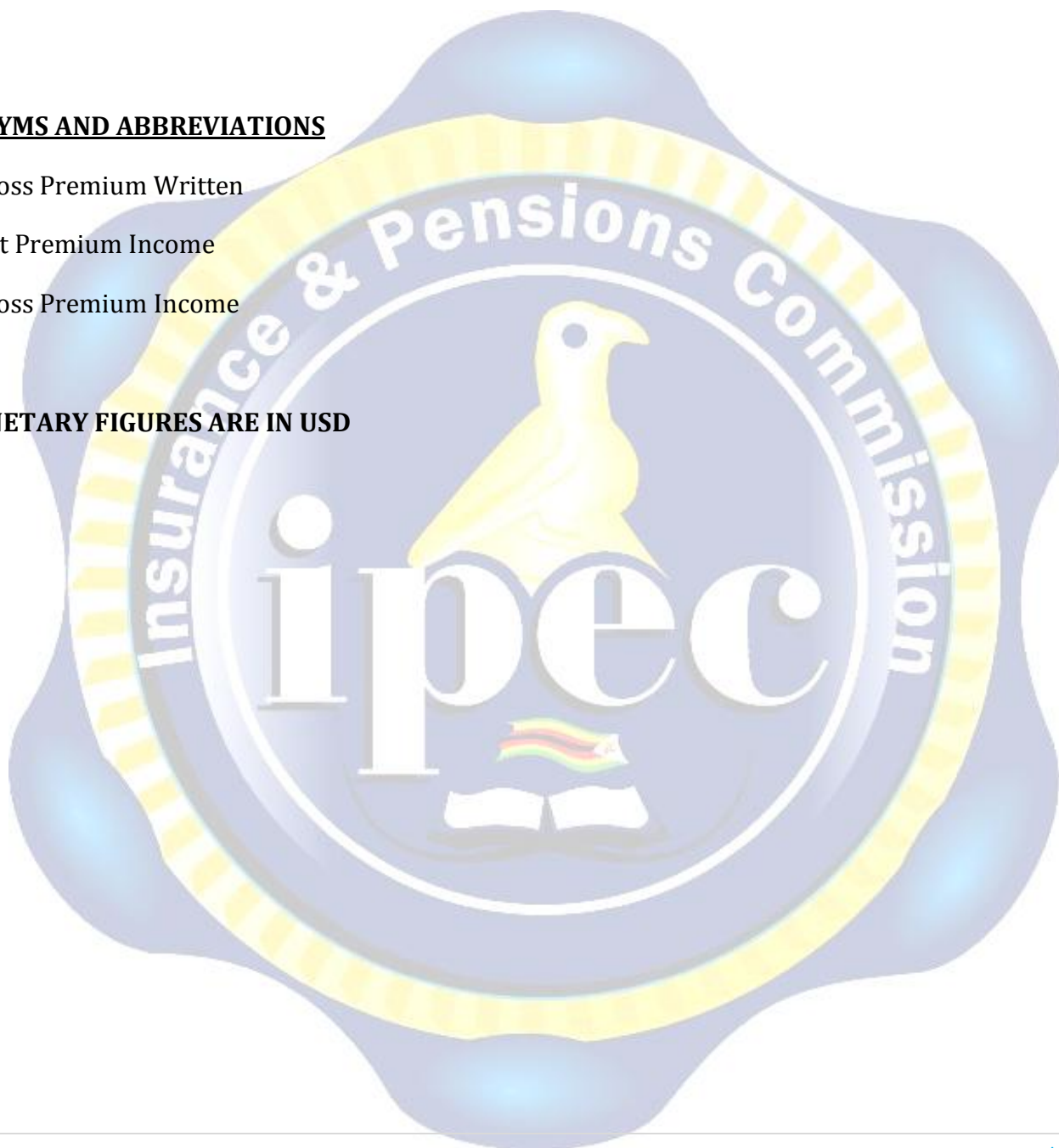
LIST OF ACRONYMS AND ABBREVIATIONS

GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

NOTE: ALL MONETARY FIGURES ARE IN USD



Background

The report is predominantly an analysis of industry statistics in respect of the first quarter of 2012 with no comparable period since the funeral industry commenced submission of returns in the second quarter of the year 2011. In consideration of the foregoing, proper growth trend analysis will only be possible in the forthcoming reporting period.

1.0 Executive Summary

This report is based on the operational statistics of 11 funeral assurance companies.

The funeral industry grossed premiums amounting to \$12,5million for the quarter ended 31 March 2012. Of this figure, 7% was payable as total claims.

In terms of new business, the funeral industry raised \$16,1million in annual premiums but payable in monthly installments with 64% being group business. There was a noticeable portfolio imbalance with respect to some players who relied entirely on the more vulnerable individual lines business.

Reported liabilities out matched actuarial reserves and retained earnings combined which may imply over stated financial performance by industry players. Players are required to maintain sufficient actuarial reserves at all times in order to meet claim obligations. Furthermore some long established players have a sizable book of pre-dollarization matured policies in respect of which promised services or benefits are still legally binding.

For the quarter under review, the funeral industry managed total assets in the sum of \$40, 3million, the bulk of which was in other assets. However all member players failed to comply with the statutory requirement to invest 7.5% of their total assets in prescribed assets, citing lack of competitive returns on floated paper. The Commission will take corrective measures on such players in terms of the Insurance Act to ensure compliance.

Cost management remains a challenge for funeral companies as most players reported technical losses as a result of huge operational costs. In an endeavor to ensure sustainability, the industry is encouraged to address this issue urgently.

2.0 Number of Funeral Assurance Companies

This report is based on the operations of 11 players consequent to the regularization of the operational license in respect of Sunset Funeral Assurance Company.

3.0 Revenue Generated by Company

Funeral assurers generated \$12,5million in gross written premium whilst other revenue streams contributed \$1,3million for the period under review. Thus total revenue for the period was \$13,8million. (See Table 1 below). Comparable statistics for the same period last are unfortunately not available because the Commission commenced reporting for the funeral sector in the second quarter of the year 2011.

Table 1: Funeral Industry Revenue for the quarter ended 31 March 2012

	GPW Mar 12 (USD)	Other Revenue Mar 12(USD)	Total revenue Mar 12
Cell	86,719	46,594	133,313
Doves	1,035,969	24,616	1,060,585
Fidelity	645,918	11,888	657,806
First Funeral	899,356	14,050	913,406
Foundation	164,835	22,951	187,786
Moonlight	2,017,496	185,545	2,203,041
Nyaradzo	7,231,409	961,677	8,193,086
Passion	250,750	-	250,750
Ruvimbo	61,738	-	61,738
Vineyard	143,714	10,772	154,486
Sunset	35,379	1,800	37,179
Total	12,537,904	1,278,093	13,815,997

4.0 NEW BUSINESS MIX BY COMPANY

Table 2 below illustrates the new business generated by funeral companies for the quarter under review. Individual life business realized \$5,9million in annual premiums whilst group business recorded \$10,3million. This scenario limits overreliance on a single business stream. However some players' new business book were entirely composed of individual policyholders. We encourage such players to explore ways of portfolio diversification, which is buttressed by new product innovation, as a risk mitigation measure.

Table 2: New Business Mix for the quarter ended 31 March 2012

No. Of Policies			Sum Assured(US\$)		Annual Premiums(US\$)	
	Individual Life	Group Business	Individual Life	Group Business	Individual Life	Group Business
Cell	139	4	191,820	109,020	562	1,208
Doves	19,524	32,220	2,525,850	3,787,500	442,911	2,047,609
Fidelity	22,352	20	4,738,624	151,920	2,682,240	75,840
First Funeral	27,577	-	17,564,750	-	899,356	-
Foundation	493	-	246,500	-	121,771	-
Moonlight	186	26,460	192,511	22,141,924	10,901	5,866,905
Nyaradzo	4,067	54	4,880,400	11,276,400	1,463,891	1,961,206
Passion	1,342	-	161,040	-	112,728	-
Ruvimbo	31	69	26,320	51,810	4,560	9,144
Vineyard	385	2,977	134,750	744,250	60,060	321,516
Sunset	1,483	-	370,750	-	202,236	-
Total	76,096	61,804	30,662,565	38,262,824	5,855,180	10,283,428

5.0 REINSURANCE AND RETENTION LEVELS

All Industry players retained their books net to their balance sheets for the quarter ended 31 March 2012. IPEC continues to encourage funeral companies to use reinsurance as a risk spread mechanism and to retain risks relative to their capital sizes to minimize underwriting risks. Given the current depressed investment avenues, reinsurance becomes critically important.

6.0 ISSUED CAPITAL, ACTUARIAL RESERVES AND LIABILITIES OF FUNERAL ASSURANCE COMPANIES

Liability figures for the industry outgrew retained earnings and actuarial reserves combined. This may suggest under reserving and overstatement of financial soundness by the funeral sector. (See Table 4 below). The Commission requires funeral companies to sustain adequate actuarial reserves to meet their claims liabilities as and when they fall due as a crucial prudential issue.

Table 4: Issued Capital, Actuarial Reserves, Earnings and Liabilities by Company for the quarter ended 31 March 2012

	Authorised Capital	Issued Share Capital	Paid up Capital	Actuarial Reserves	Retained Earnings	Other Liabilities
Cell	-	1,347,629	1,347,629	-	271,937	81,501
Doves	-	-	-	5,511,991	309,698	1,192,989
Fidelity	500,000	335,933	335,933	902,305	159,968	313,126
First Funeral	-	411,440	411,440	884,581	93,069	574,533
Foundation	-	-	-	-	14,798	192,170
Moonlight	2,000,000	15,000,070	1,500,070	2,310,602	249,627	4,307,777
Nyaradzo	500,000	350,000	350,000	-	237,808	11,268,936
Passion	3,000,000	600	600	-	(538,664)	879,871
Ruvimbo	600,000	59,998	59,998	358,313	4,971	-
Vineyard	450,600	182,248	313,979	103,600	146,620	200,868
Sunset	20,000	20,000	20,000	-	1,445	-
Total	7,070,600	17,687,918	4,319,649	10,071,392	949,832	19,011,771

7.0 TOTAL ASSET COMPOSITION BY CLASS

Stocks and Shares

Asset holding in shares by the industry was 2% of total assets.(See Figure 1 and Table 5). This may be attributable to falling stock values resulting partly from insignificant activity on the bourse due to liquidity challenges.

Land and Buildings

Funeral assurers invested in the stable property sector to the tune of \$8 million or 20% of total assets as at the end of the current reporting period.

Cash

Near-cash and cash asset holdings by funeral companies remained stagnant at 8% as was reported in the previous quarter.

Other Assets and other investments

The balance of 70% or \$28,3million of total assets held by funeral companies was bundled into other assets and other investments. Players are expected to disclose the salient details of what constitutes other assets. IPEC has developed a new template already in circulation in time for the third quarter which should go a long way in ensuring full disclosure.

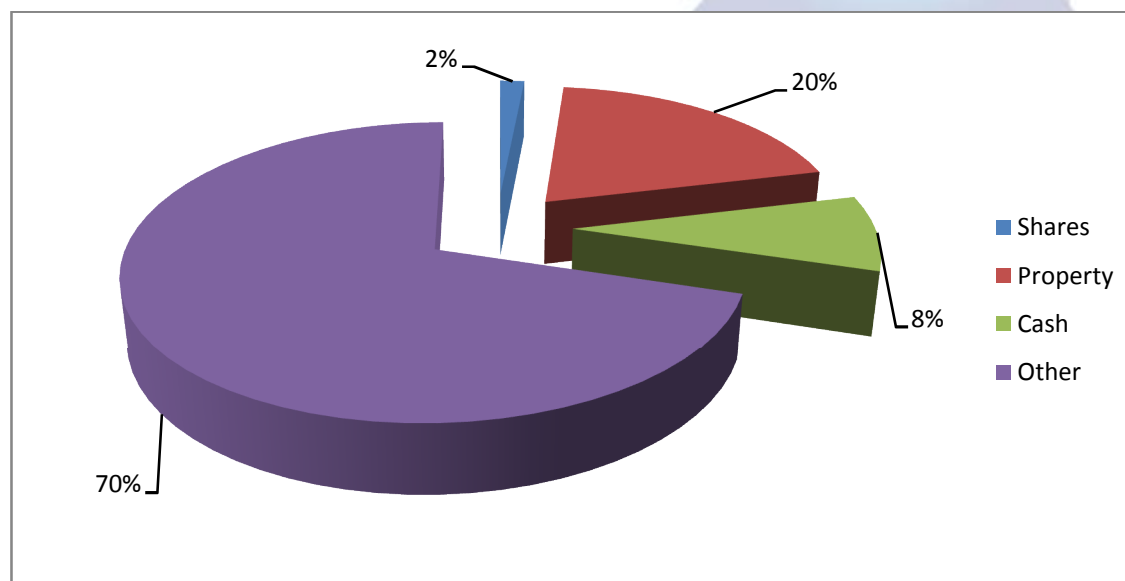
Prescribed Assets

The Commission has noted with great concern that none of the players was compliant in terms of prescribed assets. Accordingly, players are hereby advised to comply, failure of which penalties will be attracted in terms of the law.

Table 5: Total Assets by Class for the quarter ended 31 March 2012

	Stock and Shares	Land & Buildings	Cash	Other Assets	Other Investments	Total Assets
Cell	12,881	-	1,173,732	514,454	-	1,701,067
Doves	56,731	1,244,850	176,688	2,390,209	6,503,230	10,371,708
Fidelity	402,195	124,603	24,886	489,488	670,160	1,711,332
First Funeral	14,690	671,692	23,315	37,921	1,295,064	2,042,682
Foundation	-	1,002,000	84,702	66,074	69,156	1,221,932
Moonlight	-	2,696,107	-	5,492,794	179,175	8,368,076
Nyaradzo	128,021	1,335,056	1,530,817	8,274,664	776,471	12,045,029
Passion	-	-	13,106	182,148	172,166	367,420
Ruvimbo	-	300,000	254,196	663,540	5,000	1,222,736
Vineyard	2,953	238,914	18,416	496,681	-	756,964
Sunset	-	320,461	100,000	52,936	-	473,397
Total	617,471	7,933,683	3,399,858	18,660,909	9,670,422	40,282,343

Figure 1: Total Assets by Class for the quarter ended 31 March 2012



8.0 KEY PERFORMANCE INDICATORS

Table 6 below illustrates the major performance indicators for the funeral industry for the quarter ended 31 March 2012.

Combined Ratio

Table 6, below, shows that funeral companies' combined ratio was 53%. However the majority of players were above the 100% benchmark. This implies underwriting losses due to unaffordable operational costs. As highlighted above, stream lining of costs must be implemented given the depressed investment income streams prevailing in the economy.

Loss Ratio

The claims bill was \$0,925million or 14% of the total costs for the quarter under review. The industry's loss ratio was at 7%.

Expense Ratio

Expense ratio is the percentage of insurance premiums used to pay for an insurer's underwriting expenses such as overheads, marketing and commission to net premiums earned. For the quarter ended 31 March 2012, the average expense ratio for the industry was 46%.

Management expenses was the biggest cost centre for funeral companies. Funeral assurers incurred \$4,6 million or 40% of the net premium written which was 69% of the total costs bill. This scenario implies that cost restructuring remains a major challenge for players. To ensure industry sustainability, the Commission encourages the industry to address this issue urgently.

Commissions

Commission payments contributed a 17% (\$1,1million) to total costs for the period under review.

Table 6: Key Performance Indicators by Company for the quarter ended 31 March 2012

Funeral Co.	Net Premium Written(USD)	Net Claims (USD)	Commission(USD)	Management Expenses(USD)	Total (USD)	Combined Ratio(%)	Loss Ratio(%)	Expense Ratio(%)
Cell	86,719	-	605	184,750	185,355	214	-	214
Doves	1,035,969	304,196	78,931	51,607	434,734	42	29	13
Fidelity	645,918	22,178	118,079	221,499	361,756	56	3	53
First Funeral	899,356	141,434	127,182	414,615	683,231	76	16	60
Foundation	164,835	21,224	29,649	122,115	172,988	105	13	92
Moonlight	2,017,496	362,692	181,818	1,628,571	2,173,081	108	18	90
Nyaradzo	7,231,409	1,414	568,163	1,631,919	2,201,496	30	-	30
Passion	250,750	33,154	-	230,503	263,657	105	13	92
Ruvimbo	61,738	8,156	1,944	56,767	66,867	108	13	95
Vineyard	35,379	30,090	19,749	86,777	136,616	386	85	301
Sunset	143,714	934	3,789	7,239	11,962	8	1	8
Total	12,537,904	925,472	1,129,90	4,636,362	6,691,743	53	7	46

9.0 Claims Statistics

Industry claim statistics are as shown on Tables 6 and 7.

Death Claims

Death claims amounted to 84% or \$0,774million of total claims for the period under review. In an effort to regain policyholder confidence in our industry, players are exhorted to fully pay their claims timeously .In our new returns template, we require an aged analysis of all claims to monitor this aspect more closely.

Paid Up Claims

The paid -up book constituted a sizable portion of total claims. These represent pre-agreed contractual obligations which players must reserve for and pay regardless of the change over of our former functional currency to the United States dollar. Players are therefore encouraged to reserve and or reinsure accordingly among other pre-claim management measures.

Table 7: Claims Statistics for the quarter ended 31 March 2012

Name of Co.	By Death	Paid Up	By Disability	Total Gross Claims	Net Reinsurance Claims	Net Claims	Repudiation	Annuities	Cash Bonuses	Total Claims
Cell	-	-	-	-	-	-	-	-	-	-
Doves	182,518	121,678	-	304,196	-	304,196	-	-	-	304,196
Fidelity	22,178	-	-	22,178	-	22,178	-	-	-	22,178
First Funeral	141,434	-	-	141,434	-	141,434	-	-	-	141,434
Foundation	21,189	35	-	21,224	-	21,224	-	-	-	21,224
Moonlight	362,692	-	-	362,692	-	362,692	-	-	-	362,692
Nyaradzo	1,413	1	-	1,414	-	1,414	-	-	-	1,414
Passion	33,154	-	-	33,154	-	33,154	-	-	-	33,154
Ruvimbo	8,156	-	-	8,156	-	8,156	-	-	-	8,156
Sunset	934	-	-	934	-	934	-	-	-	934
vineyard	30,090	-	-	30,090	-	30,090	-	-	-	30,090
Total	773,926	121,714	-	895,640	-	895,640	-	-	-	925,472

10.0 AGENTS PER FUNERAL ASSURER

Funeral companies reported their agent population as illustrated in Table 8 below. The Commission hereby warns players that, in terms of the Insurance Act, employment of unregistered agents attracts considerable penalties of up to \$5 000.00 per case.

Table 8: Agents Count Per Funeral Assurer for the quarter ended 31 March 2012

	Fully Registered Agents		Provisionally Registered Agents		Unregistered Agents		TOTALS
	Individual	Corporate	Individual	Corporate	Individual	Corporate	
Cell Funeral	1	-	-	-	-	-	1
Doves Funeral	0	-	0	-	-	-	0
First Funeral	40	1	-	-	-	-	0
Foundation	0	-	-	-	-	-	0
Fidelity Funeral	2	-	-	-	-	-	2
Moonlight	0	-	0	-	-	-	0
Nyaradzo Funeral	26	-	46	-	-	-	72
Passion Funeral	2	-	13	-	-	-	15
Ruvimbo Funeral	1	-	14	-	-	-	15
Sunset Funeral	10	-	-	-	-	-	10
Vineyard Funeral	1	1	-	10	-	-	11
TOTALS	83	2	65	-	-	-	126

Conclusion

The Commission encourages players to take note of observations as outlined in this report as well as implementing corrective measures, the majority of which are of a prudential nature. This is important not only for compliance reasons but also for continued survival and revival of our industry much to the benefit of all stakeholders.